



PHOTO BY **MANDAR DEODHAR**

“Indian markets, particularly amid improving corporate earnings growth, low interest rates, ample liquidity, and a macroeconomic recovery, have the potential to outperform other markets in 2026,” he says.

REALITY CHECK

Against a 8-9% rise for Nifty and Sensex, the market value of all-listed stocks on Indian bourses stood at nearly ₹474 lakh crore on December 27, rising 6% since the last year. Smallcaps were the

worst-hit.

Stock returns are typically driven by two engines: earnings growth and valuation re-rating. In a year when the AI theme drove a global rally, US slapped India with 50% tariffs; and its valuations were